# Sanitary and Improvement District No. 623 of Douglas County, Nebraska

## Governmental Funds Balance/Statement of Net Position

**June 30, 2025**

| | General Fund | Debt Service Fund | Total | Reconciliation | Statement of Net Position |
|---|---|---|---|---|---|
| **ASSETS** | | | | | |
| Cash on Deposit | | | | | |
| County Treasurer | $ 13,707 | $ 7,712 | $ 21,419 | $ - | $ 21,419 |
| Receivables | | | | | |
| Property Taxes | 7,610 | - | 7,610 | - | 7,610.00 |
| Construction in Progress | - | - | - | 8,697,360 | 8,697,360 |
| **TOTAL ASSETS** | **$ 21,317** | **$ 7,712** | **$ 29,029** | **$ 8,697,360** | **$ 8,726,389** |
| **LIABILITIES** | | | | | |
| Accounts Payable | $ 28,032 | $ - | $ 28,032 | $ 1,054,639 | $ 1,082,671 |
| Warrants Payable | 107,244 | - | 107,244 | 11,082,922 | 11,190,166 |
| Accrued Interest on Warrants | 5,661 | 228,596 | 234,257 | - | 234,257 |
| Total Liabilities | 140,937 | 228,596 | 369,533 | 12,137,561 | 12,507,094 |
| **DEFERRED INFLOWS OF RESOURCES** | - | - | - | 7,610 | 7,610 |
| **FUND BALANCE (DEFICIT)/NET POSITION** | | | | | |
| Unassigned, Reported in General Fund | (119,620) | - | (119,620) | 119,620 | - |
| Restricted, Debt Service Fund | - | (220,884) | (220,884) | 220,884 | - |
| Total Fund Balance (Deficit) | (119,620) | (220,884) | (340,504) | 340,504 | - |
| **TOTAL LIABILITIES AND FUND BALANCE** | **$ 21,317** | **$ 7,712** | **$ 29,029** | | |
| **NET POSITION** | | | | | |
| Net Investment in Capital Assets | | | | (3,440,201) | (3,440,201) |
| Unrestricted | | | | (127,230) | (127,230) |
| Restricted for Debt Service | | | | (220,884) | (220,884) |
| **TOTAL NET POSITION** | | | | **$ (3,788,315)** | **$ (3,788,315)** |

See Notes to Basic Financial Statements.

# Sanitary and Improvement District No. 623 of Douglas County, Nebraska

## Governmental Funds Revenues, Expenditures and Changes in Fund Balances/Statement of Activities

### Year Ended June 30, 2025

| | General Fund | Debt Service Fund | Total | Reconciliation | Statement of Activities |
|---|---|---|---|---|---|
| **REVENUES/RECEIPTS** | | | | | |
| Property Taxes | $ 21,551 | $ - | $ 21,551 | $ (7,610) | $ 13,941 |
| State Motor Vehicle Tax Allocation | 26 | - | 26 | - | 26 |
| Collection in District | - | 7,712 | 7,712 | - | 7,712 |
| Total Revenues/Receipts | 21,577 | 7,712 | 29,289 | (7,610) | 21,679 |
| **EXPENDITURES/EXPENSES** | | | | | |
| Current: | | | | | |
| Collection Fees - County Treasurer | 260 | - | 260 | - | 260 |
| Clerk Fees | 1,292 | - | 1,292 | - | 1,292 |
| Engineering | 43,638 | - | 43,638 | - | 43,638 |
| Fiscal Agent Fees | 20,070 | - | 20,070 | - | 20,070 |
| Insurance | 5,053 | - | 5,053 | - | 5,053 |
| Interlocal Payment | - | 1,674,448 | 1,674,448 | - | 1,674,448 |
| Interest on Warrants | 5,170 | 432,549 | 437,719 | - | 437,719 |
| Professional Fees | 21,571 | - | 21,571 | - | 21,571 |
| Net Capital Outlay | - | 5,846,381 | 5,846,381 | (5,846,381) | - |
| Total Expenditures/Expenses | 97,054 | 7,953,378 | 8,050,432 | (5,846,381) | 2,204,051 |
| Excess (Deficiency) of Revenues/Receipts Over Expenditures/Expenses | (75,477) | (7,945,666) | (8,021,143) | 5,838,771 | (2,182,372) |
| **OTHER FINANCING SOURCES (USES)** | | | | | |
| Warrants Issued | - | 7,185,472 | 7,185,472 | (7,185,472) | - |
| Change in Payables | - | 585,646 | 585,646 | (585,646) | - |
| Total Other Financing Sources (Uses) | - | 7,771,118 | 7,771,118 | (7,771,118) | - |
| Excess (Deficiency) of Revenues/Receipts and Transfers in Over (Under) Expenditures/ Expenses and Transfers Out | (75,477) | (174,548) | (250,025) | 250,025 | - |
| Change in Net Position | | | | (2,182,372) | (2,182,372) |
| Fund Balance (Deficit)/Net Position, Beginning of Year | (44,143) | (46,336) | (90,479) | - | (1,605,943) |
| **Fund Balance (Deficit)/Net Position, End of Year** | **$ (119,620)** | **$ (220,884)** | **$ (340,504)** | **$ -** | **$ (3,788,315)** |

See Notes to Basic Financial Statements.

## 5. Reconciliation of Net Position and Changes in Net Position

| | |
|---|---|
| **Net Position** | |
| Total fund balance per balance sheet | $ (340,504) |
| Amounts reported for governmental activities in the statement of net position are different because: | |
| Capital assets used in governmental activities are not financial resources and therefore are not reported in the funds. | 8,697,360 |
| Some liabilities, including accounts and warrants payable, are not due and payable in the current period and therefore are not reported in the funds. | (12,137,561) |
| Property tax revenue not yet earned at year end is reported as deferred revenue. | (7,610) |
| Net position of governmental activities | $ (3,788,315) |

| | |
|---|---|
| **Changes in Net Position** | |
| Net change in fund balance | $ (8,021,143) |
| Current year property tax levy not yet earned at year end. | $ (7,610) |
| Governmental funds report capital outlay as expenditures. However, the cost of these assets is allocated over their estimated useful lives. | 5,846,381 |
| Change in net position of governmental activities | $ (2,182,372) |

## 6. Contingencies

The District has entered into various contracts and agreements related to the construction of streets, utility systems and other public improvements as well as general maintenance and other operating expenses related to the District. These contracts and agreements will be completed in the future. All expenditures are initially funded by the issuance of warrants. Warrants mature as follows; General Fund warrants mature within 3 years of issuance and Debt Service Fund warrants mature in 5 years. Maturities of warrants payable are primarily funded by the issuance of bonds payable and cash flow generated from special assessments and annual property levies. Special assessments are levied on a per lot basis. The generation of property taxes is dependent upon the growth of the valuation base as lots are developed. In addition, the District's ability to issue bonds independent upon an acceptable level of valuation for the District. The District's ability to fund its obligations in the future is contingent upon the success of future lot sales and the development within the district.

**REQUIRED SUPPLEMENTARY INFORMATION**

**Schedule of Revenue, Expenditures and Changes in Fund Balance-
Budget and Actual (Budgetary Basis) – General Fund**

**Schedule of Revenue, Expenditures and Changes in Fund Balance-
Budget and Actual (Budgetary Basis) – Debt Service Fund**

**SUPPLEMENTARY INFORMATION**

**Information Required by Nebraska Revised Statutes Section 31-740**

**District Trustees and Related Bonds**

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**Independent Auditors' Report on Internal Control Over Financial Reporting
and on Compliance and Other Matters Based on an Audit of Financial
Statements Performed in Accordance with *Government Auditing Standards***

# Sanitary and Improvement District No. 623 of Douglas County, Nebraska

**Schedule of Revenue, Expenditures and Changes in Fund Balance –**
**Budget and Actual (Budgetary Basis) – General Fund** **Schedule 1**

**Year Ended June 30, 2025**

| | Actual on GAAP Basis | Adjustments to Budgetary Basis | Actual on Budgetary Basis | Original and Final Budget | Variance-Favorable (Unfavorable) |
|---|---|---|---|---|---|
| **REVENUES/RECEIPTS** | | | | | |
| Property Taxes | $ 21,551 | $ (7,610) | $ 13,941 | $ 21,129 | $ (7,188) |
| State Motor Vehicle Taxes | 26 | - | 26 | 50 | (24) |
| Total Revenues/Receipts | 21,577 | (7,610) | 13,967 | 21,179 | (7,212) |
| **EXPENDITURES/DISBURSEMENTS** | | | | | |
| Collection Fees -County Treasurer | 260 | - | 260 | - | (260) |
| Clerk Fees | 1,292 | - | 1,292 | - | (1,292) |
| Engineering | 43,638 | (4,622) | 39,016 | 15,000 | (24,016) |
| Fiscal Agent Fees | 20,070 | (990) | 19,080 | 10,500 | (8,580) |
| Insurance | 5,053 | - | 5,053 | 5,000 | (53) |
| Interest on Warrants | 5,170 | (5,170) | - | 1,500 | 1,500 |
| Maintenance | - | - | - | 5,000 | 5,000 |
| Professional Fees | 21,571 | (6,245) | 15,326 | 17,500 | 2,174 |
| Total Expenditures/Disbursements | 97,054 | (17,027) | 80,027 | 54,500 | (25,527) |
| Excess (Deficiency) of Revenues/Receipts over Expenditures/Disbursements | (75,477) | 9,417 | (66,060) | (33,321) | (32,739) |
| **OTHER FINANCING SOURCES (USES)** | | | | | |
| Warrants Issued | - | 79,767 | 79,767 | 53,000 | 26,767 |
| Warrants Retired | - | - | - | (19,000) | 19,000 |
| Total Other Financing Sources (Uses) | - | 79,767 | 79,767 | 34,000 | 45,767 |
| **EXCESS (DEFICIENCY) OF REVENUES/ RECEIPTS AND OTHER SOURCES OVER EXPENDITURES/DISBURSEMENTS AND OTHER USES** | (75,477) | 89,184 | 13,707 | **$ 679** | **$ 13,028** |
| Fund Balance (Deficit), Beginning of Year | (44,143) | 44,143 | - | | |
| **Fund Balance (Deficit), End of Year** | **$ (119,620)** | **$ 133,327** | **$ 13,707** | | |

See Independent Auditors' Report.

# Sanitary and Improvement District No. 623 of Douglas County, Nebraska

**Schedule of Revenue, Expenditures and Changes in Fund Balance –**
**Budget and Actual (Budgetary Basis) – Debt Service Fund** **Schedule 2**

**Year Ended June 30, 2025**

| | Actual on GAAP Basis | Adjustments to Budgetary Basis | Actual on Budgetary Basis | Original and Final Budget | Variance-Favorable (Unfavorable) |
|---|---|---|---|---|---|
| **REVENUES/RECEIPTS** | | | | | |
| Collection in District | $ 7,712 | $ - | $ 7,712 | $ - | $ 7,712 |
| **EXPENDITURES/DISBURSEMENTS** | | | | | |
| Engineering | - | 593,206 | 593,206 | 700,000 | 106,794 |
| Fiscal Agent Fees | - | 346,376 | 346,376 | 350,000 | 3,624 |
| Interlocal Payments | 1,674,448 | (282,864) | 1,391,584 | - | (1,391,584) |
| Interest on Warrants | 432,549 | (182,260) | 250,289 | 150,000 | (100,289) |
| Professional Fees | - | 279,000 | 279,000 | 350,000 | 71,000 |
| Net Capital Outlay | 5,846,381 | (1,521,364) | 4,325,017 | 7,000,000 | 2,674,983 |
| Total Expenditures/Disbursements | 7,953,378 | (767,906) | 7,185,472 | 8,550,000 | 1,364,528 |
| Excess (Deficiency) of Revenues/Receipts over Expenditures/Disbursements | (7,945,666) | 767,906 | (7,177,760) | (8,550,000) | 1,372,240 |
| **OTHER FINANCING SOURCES (USES)** | | | | | |
| Bonds Issued | - | - | - | 8,550,000 | (8,550,000) |
| Warrants Issued | 7,185,472 | - | 7,185,472 | - | 7,185,472 |
| Change in Payables | 585,646 | (585,646) | - | - | - |
| Total Other Financing Sources (Uses) | 7,771,118 | (585,646) | 7,185,472 | 8,550,000 | (1,364,528) |
| **EXCESS (DEFICIENCY) OF REVENUES/ RECEIPTS AND OTHER SOURCES OVER EXPENDITURES/DISBURSEMENTS AND OTHER USES** | (174,548) | 182,260 | 7,712 | **$ -** | **$ 7,712** |
| Fund Balance (Deficit), Beginning of Year | (46,336) | 46,336 | - | | |
| **Fund Balance (Deficit), End of Year** | **$ (220,884)** | **$ 228,596** | **$ 7,712** | | |

See Independent Auditors' Report.